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POLICY NUMBER: FP-FIN-012

ASSETS HELD FOR SALE AND DISCONTINUED OPERATIONS

ACCOUNTING POLICY

The purpose of this policy is to provide comprehensive guidance regarding Hilton Worldwide Holdings, Inc.'s ("Hilton") accounting for assets held for sale and discontinued operations in accordance with US Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC").

POLICY STATEMENT

Hilton may enter into plans to sell or dispose of certain assets or operations (e.g., a hotel, lease arrangement or brand). Appropriate presentation and classification of the associated balances or operations regarding planned sales or disposals are important for users of the financial statements.

SCOPE

The following planned or executed sales or disposals are included within the scope of this policy and need to be evaluated for the appropriate presentation and classification within Hilton's Consolidated Financial Statements:

1. Sale or disposal of an owned tangible or intangible asset (e.g., hotel, office building or brand)
2. Termination of a hotel lease
3. Sale or disposal of an investment in a joint venture (e.g., equity method investment or consolidated joint venture)
4. Exit of a major line of business (e.g., brand, geographic area, or segment) (refer to **FP-FIN-035—Business Combinations Accounting Policy** for the definition of a business)

APPLICABILITY

This policy applies to all Finance personnel, as well as Real Estate Asset Management, Development, and Legal.

EXCLUSIONS/ EXCEPTIONS

The sale or disposal of an equity instrument is not within the scope of this policy. Refer to **FP-FIN-004—Equity Securities Accounting Policy** for the accounting of equity instruments.

AUTHORIZATIONS

Required Consultations with Technical Accounting ("TA")

TA must be notified of all of the following planned or executed sales or disposals in order to determine the appropriate accounting:

1. Sale or disposal of an owned tangible or intangible asset (e.g., hotel, office building, or brand)
2. Termination of a hotel lease
3. Sale or disposal of an investment in a joint venture (e.g., equity method investment or consolidated joint venture)
4. Exit of a major line of business (e.g., brand, geographic area, or segment) (refer to **FP-FIN-035—Business Combinations Accounting Policy** for the definition of a business)

PRESENTATION

a. Asset Held for Sale

Classification as Held for Sale

An asset or disposal group is classified as held for sale in the period in which **all** of the following criteria are met:

1. Hilton commits to a plan to sell the asset or disposal group. Commitment of a plan to sell is evidenced by approval by either Hilton's Board of Directors or Investment Committee, depending on the approval limit (refer to **FP-FIN-400—Global Deal Approval Policy**), to dispose of a property.¹
2. The asset or disposal group is available for immediate sale in its present condition, subject only to terms that are usual and customary for sales of such assets.²
3. An active program to locate a buyer and other actions required to complete the plan to sell the asset have been initiated.³

¹ ASC 360-10-45-9(a), Property, Plant, and Equipment, Overall, Other Presentation Matters

² ASC 360-10-45-9(b), Property, Plant, and Equipment, Overall, Other Presentation Matters

³ ASC 360-10-45-9(c), Property, Plant, and Equipment, Overall, Other Presentation Matters

4. The sale of the asset or disposal group is probable, and transfer of the asset is expected to qualify for recognition as a completed sale within one year.⁴ The following should be considered when determining whether it is probable that the transfer of the asset will be completed within one year:
 - a. Whether a purchase and sale agreement has been signed.
 - b. Whether the purchase and sale agreement contains any contingent or at-will termination rights.
 - c. Whether the purchaser has committed a non-refundable purchase deposit and the size of the non-refundable deposit in relation to the sales price of the asset or disposal group.
 - d. The length of time that the asset or disposal group been on the market.
5. The asset is being actively marketed for sale at a price that is reasonable in relation to its current fair value.⁵
6. Actions required to complete the plan indicate that it is unlikely significant changes to the plan will be made or the plan will be withdrawn.⁶

When an asset or disposal group meets the held for sale criteria above, the asset or disposal group should be written down to the lower of its carrying amount and its fair value less cost to sell (refer to **FP-FIN-033—Impairment Accounting Policy** for impairment considerations).⁷ Additionally, if the asset or disposal group is material, Hilton will present the related assets and liabilities, if any, separately from its other assets and liabilities in its Consolidated Balance Sheet. A disposal group only includes those assets and liabilities that will be transferred in the sale.

Upon classification as held for sale, depreciation expense is no longer recognized on the asset or disposal group.⁸

Classification as Held for Sale is no Longer Met

If at any time the criteria for the held for sale classification is no longer met, Hilton will reclassify the assets and liabilities of the disposal group back to held for use and will present these assets and liabilities within the Consolidated Balance Sheet financial statement line items they were previously presented within before being classified as held for sale.⁹ Additionally, the asset or disposal group will also be remeasured to the lower of:

- a. The carrying amount of the asset or disposal group prior to classification as held for sale, adjusted for any depreciation expense that would have otherwise been recognized during the period in which the asset or disposal group was classified as held for sale.
- b. Its current fair value.¹⁰

Once remeasured, the asset's or disposal group's new carrying value will be depreciated over its or their remaining useful life.

b. Discontinued Operations

Classification as Discontinued Operations

When Hilton has a planned disposal of a component or group of components, Hilton must evaluate whether the disposal represents a strategic shift that has, or will have, a major effect on Hilton's operations and financial results. Hilton will evaluate both the qualitative and quantitative factors as part of this evaluation and whether the component or group of components is individually significant. Hilton will also consider the disposal's effect on a geographical area, a line of business (e.g., brand), a segment, an equity method investment, or any other noteworthy parts of Hilton.¹¹ Each disposal must be evaluated based on its specific facts and circumstances in concluding whether the disposal represents a strategic shift.

⁴ ASC 360-10-45-9(d), Property, Plant, and Equipment, Overall, Other Presentation Matters

⁵ ASC 360-10-45-9(e), Property, Plant, and Equipment, Overall, Other Presentation Matters

⁶ ASC 360-10-45-9(f), Property, Plant, and Equipment, Overall, Other Presentation Matters

⁷ ASC 360-10-35-40 and 35-43 Property, Plant, and Equipment, Overall, Subsequent Measurement

⁸ ASC 360-10-35-43, Property, Plant, and Equipment, Overall, Subsequent Measurement

⁹ ASC 360-10-45-10, Property, Plant, and Equipment, Overall, Other Presentation Matters

¹⁰ ASC 360-10-35-44, Property, Plant, and Equipment, Changes to a Plan of Sale

¹¹ ASC 205-20-45-1C, Presentation of Financial Statements, Discontinued Operations, Other Presentation

If Hilton determines that the disposal represents a strategic shift that has, or will have, a major effect on its operations and financial results, Hilton will report discontinued operations related to the disposal when any of the following occur:

1. The component or group of components being disposed of meets the criteria for held-for-sale as described in the **Asset Held for Sale** subsection above.
2. The component or group of components being disposed of are sold.
3. The component or group of components being disposed of is disposed of other than by sale (e.g., by abandonment or in a distribution to owners in a spinoff).¹²

Hilton will also report a business or non-profit activity that meets the held for sale criteria upon acquisition as discontinued operations.¹³ Refer to **FP-FIN-035—Business Combinations Accounting Policy** for the definition of a business.

For disposals or planned disposals that meet the criteria for discontinued operations, the revenues and expenses of the component, less applicable income taxes/benefit, are reported separately from continuing operations as discontinued operations and prior periods are restated for comparative purposes in the period in which the component is either classified as held for sale or disposed.¹⁴ In addition to all revenues and operating expenses of the disposed component, any impairment losses, allocated interest or other operating costs as well as the gain or loss on the sale of the component are reported within discontinued operations.¹⁵

In the period(s) a discontinued operation is classified as held for sale and for all prior periods presented, the assets and liabilities of the discontinued operation are reported separately within the asset and liability sections of the Consolidated Balance Sheet.¹⁶ If the assets and liabilities of the discontinued operation are disposed of prior to meeting held-for-sale criteria, the assets and liabilities presented for periods prior to the disposal will be presented separately within the asset and liability sections of the Consolidated Balance Sheet in the period of disposal.¹⁷

Classification as Discontinued Operations no Longer Met

In the period the decision is made to change the plan for selling the component classified as discontinued operations, Hilton will reclassify any related income reported in discontinued operations to the appropriate continuing operations line items for all periods presented. Hilton will present the assets and liabilities as held for sale if the component still qualifies as held-for-sale. If the component no longer qualifies as held for sale, the assets and liabilities will no longer be presented separately.

Disposals that do not meet the Criteria for Discontinued Operations

Gains and losses on sales of assets that do not meet the criteria for discontinued operations are recognized within 'Gain (loss) on sale of assets, net' in the Consolidated Statement of Operations. For the purposes of this policy, assets include fixed assets (e.g., hotels, buildings, land, FF&E, or leases) and intangible assets (e.g., internal-use software, or brand or trademark intangibles).

Gains and losses on sales of any other component or group of components that do not meet the criteria for discontinued operations are recognized within the 'Other non-operating income (loss), net' line item below operating income at the date of transfer of control. This includes gains and losses on the sale of joint venture investments and certain lease exit or termination costs.¹⁸

For disposals other than by sale, refer to **FP-FIN-001—Fixed Asset Accounting Policy**, **FP-FIN-016—Internal-Use Software, Hosting Arrangements and Website Development Accounting Policy**, **FP-FIN-017—Intangible Assets Accounting Policy**, and **FP-FIN-009—Exit or Disposal Cost Obligations Accounting Policy**.

¹² ASC 205-20-45-1B, *Presentation of Financial Statements, Discontinued Operations, Other Presentation Matters*

¹³ ASC 205-20-45-1D, *Presentation of Financial Statements, Discontinued Operations, Other Presentation Matters*

¹⁴ ASC 205-20-45-3A, *Presentation of Financial Statements, Discontinued Operations, Other Presentation Matters*

¹⁵ ASC 205-20-45-3B, *Presentation of Financial Statements, Discontinued Operations, Other Presentation Matters*

¹⁶ ASC 205-20-45-10, *Presentation of Financial Statements, Discontinued Operations, Other Presentation Matters*

¹⁷ ASC 205-20-45-10, *Presentation of Financial Statements, Discontinued Operations, Other Presentation Matters*

¹⁸ ASC 360-10-45-5, *Property, Plant, and Equipment, Presentation of Disposal Gains or Losses in Continuing Operations*

FINANCIAL STATEMENT LINE ITEMS AFFECTED

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy. For all transactions that require a consultation with TA, please defer to the guidance provided by TA regarding the appropriate financial statement line items affected by the transaction.

<u>Transaction</u>	Affected		
	Balance Sheet Line Item	Income Statement Line Item	Cash Flow Statement Section
Reclass to assets held for sale	- Property and equipment, net held for sale (debit)* - Property and equipment, net (credit)*	- N/A**	- N/A
Gain/loss on sale assets, classified as discontinued operations	- Cash and cash equivalents (debit) - Property and equipment, net held for sale (credit)	- Income from discontinued operations, net of taxes (debit/credit)	- Investing Activities (Inflow)
Gain/loss on sale of assets, not classified as discontinued operations	- Cash and cash equivalents (debit) - Property and equipment, net held for sale or Investments in affiliates (credit)	- Gain (loss) on sale of assets, net (debit/credit)	- Investing Activities (Inflow)
Reclass to discontinued operations	- N/A	- Various line items (debit/credit) - Income from discontinued operations, net of taxes (debit/credit)	- N/A

*This does not depict working capital accounts that would also be reclassified to held for sale as applicable.

**Recognition of depreciation ceases

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES

[FP-FIN-001—Fixed Asset Accounting Policy](#)

[FP-FIN-004—Equity Securities Accounting Policy](#)

[FP-FIN-009—Exit and Disposal Cost Accounting Policy](#)

[FP-FIN-016—Internal-Use Software, Hosting Arrangements and Website Development Accounting Policy](#)

[FP-FIN-017—Intangible Assets Accounting Policy](#)

[FP-FIN-033—Impairment Accounting Policy](#)

[FP-FIN-400—Global Deal Approval Policy](#)

ASSETS HELD FOR SALE AND DISCONTINUED OPERATIONS ACCOUNTING POLICY

TERM/ACRONYM	DEFINITION
Asset Group	An asset group is the unit of accounting for a long-lived asset or assets to be held and used, which represents the lowest level for which identifiable cash flows are largely independent of the cash flows of other groups of assets and liabilities.
Component of an entity	A component of an entity comprises operations and cash flows that can be clearly distinguished, operationally and for financial reporting purposes, from the rest of the entity. A component of an entity may be reportable segment or an operating segment, a reporting unit, a subsidiary, or an asset group.
Disposal Group	Represents a long-lived asset or asset to be disposed of together as a group in a single transaction and liabilities directly associated with those assets that will be transferred in the transaction. The group may include a discontinued operation along with other assets and liabilities that are not part of the discontinued operation.
Long-Lived Asset	An asset with an estimated useful life greater than one year. For the purposes of this policy, Hilton considers long-lived assets to include fixed assets (e.g., hotels, buildings, land, FF&E, or leases) and intangible assets (e.g., internal-use software or brand or trademark intangibles).

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
Technical_Accounting@hilton.com	The email represents the TA contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the TA team or the listed email.